

FRANCHISE AGREEMENT

This Agreement is entered into between **Harborlight Media Corp.** and **Cedar Peak Systems Corp.** as of the Effective Date.

Effective Date: January 1, 2025

Contract Value: \$766,000

Governing Jurisdiction: the State of California

SECTION 1 DEFINITIONS

For the purposes of this Agreement, the following terms shall have the meanings set forth below. 'Affiliate' means any entity that directly or indirectly controls, is controlled by, or is under common control with a party, where 'control' means the ownership of more than fifty percent (50%) of the voting securities of such entity. 'Confidential Information' means all non-public information disclosed by one party to the other, whether orally, in writing, or by inspection of tangible objects, that is designated as confidential or that reasonably should be understood to be confidential given the nature of the information and the circumstances of disclosure. 'Deliverables' means all reports, documents, software, and other materials prepared by the service provider for the client under this Agreement. 'Effective Date' means the date first written above. 'Term' means the period commencing on the Effective Date and continuing until expiration or termination in accordance with the termination provisions of this Agreement. 'Personal Data' means any information relating to an identified or identifiable natural person. 'Services' means the services described in one or more statements of work executed by the parties from time to time. All other capitalized terms shall have the meanings ascribed to them elsewhere in this Agreement or in the applicable statement of work.

SECTION 2 PAYMENT

Harborlight Media Corp. shall pay Cedar Peak Systems Corp. the fees set forth in the applicable statement of work in accordance with the following terms. Unless otherwise specified in the applicable statement of work, all undisputed invoices are due and payable within 30 days from the date of receipt. Payments shall be made in U.S. dollars by wire transfer to an account designated in writing by Cedar Peak Systems Corp.. Any amounts not paid when due shall accrue interest at the rate of five percent (5%) per month, compounded monthly, calculated from the due date until paid in full. Harborlight Media Corp. shall be responsible for all sales, use, and similar taxes arising from this Agreement, excluding taxes based on Cedar Peak Systems Corp.'s net income. Cedar Peak Systems Corp. reserves the right to suspend performance if any undisputed invoice remains unpaid for more than thirty (30) days after the due date. The total contract value shall not exceed \$766,000 without a written amendment signed by both parties.

SECTION 3 CONFIDENTIALITY

Each party agrees to hold in strict confidence all Confidential Information of the other party and to use such information solely for the purpose of performing its obligations under this Agreement. The receiving party shall protect the disclosing party's Confidential Information using at least the same degree of care it uses to protect its own confidential information, but in no event less than a reasonable degree of care. The receiving party may disclose Confidential Information only to those of its employees, contractors, and advisors who have a bona fide need to know such information and who are bound by written obligations of confidentiality at least as protective as those contained herein. The obligations set forth in this Section shall survive termination or expiration of this Agreement for a period of 3 years. Confidential Information does not include information that: (i) is or becomes publicly available through no fault of the receiving party; (ii) was rightfully in the receiving party's possession prior to disclosure; (iii) is rightfully obtained from a third party without restriction; or (iv) is independently developed by the receiving party without use of or reference to the disclosing party's Confidential Information.

SECTION 4 DATA PROTECTION

Each party shall process Personal Data in accordance with applicable data protection laws. Each party shall use reasonable efforts to protect Personal Data in its possession and to prevent unauthorized access, disclosure, or loss. The parties shall cooperate in good faith to address any data protection issues that may arise during the term of this Agreement.

SECTION 5 INTELLECTUAL PROPERTY

The parties acknowledge that certain intellectual property may be created in the course of performing this Agreement. The parties shall discuss and agree in good faith on the ownership of any such intellectual property. Until a written agreement is reached, each party retains all rights in its own pre-existing intellectual property, and neither party shall have any obligation to assign or license any newly created intellectual property to the other party.

SECTION 6 INDEMNIFICATION

Cedar Peak Systems Corp. shall indemnify, defend, and hold harmless Harborlight Media Corp. and its officers, directors, employees, and agents from and against any and all claims, damages, losses, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to: (i) any breach of this Agreement by Cedar Peak Systems Corp.; (ii) any negligent or wrongful act or omission of Cedar Peak Systems Corp.; or (iii) any claim that the deliverables infringe the intellectual property rights of a third party. Harborlight Media Corp. shall promptly notify Cedar Peak Systems Corp. of any such claim and shall provide reasonable cooperation in the defense thereof. The obligations under this Section shall be subject to the limitation of liability set forth in this Agreement. Cedar Peak Systems Corp. shall have the right to control the defense of any indemnified claim, provided that Cedar Peak Systems Corp. shall not settle any claim in a manner that imposes any obligation on Harborlight Media Corp. without Harborlight Media Corp.'s prior written consent.

SECTION 7 LIMITATION OF LIABILITY

Each party's liability under this Agreement shall not be subject to any monetary cap, and each party shall be fully liable for all damages arising out of or relating to this Agreement. In no event shall either party be liable for any indirect, incidental, special, consequential, or punitive damages, or for any loss of profits, revenue, data, or business opportunity, even if advised of the possibility of such damages. The limitations set forth in this Section shall not apply to: (i) a party's indemnification obligations; (ii) breach of confidentiality obligations; (iii) gross negligence or willful misconduct; or (iv) any liability that cannot be limited under applicable law. The parties acknowledge that the limitations and exclusions set forth in this Section reflect a mutual agreement and form an essential basis of the bargain between the parties.

SECTION 8 TERMINATION

This Agreement shall commence on the Effective Date and continue until terminated in accordance with this Section. Either party may terminate this Agreement for convenience upon 90 days' prior written notice to the other party. Either party may terminate this Agreement immediately upon written notice if the other party: (i) materially breaches this Agreement and fails to cure such breach within thirty (30) days after receipt of written notice of such breach; or (ii) becomes insolvent, makes an assignment for the benefit of creditors, or becomes subject to any proceeding under bankruptcy or insolvency law. Upon termination of this Agreement, Harborlight Media Corp. shall pay Cedar Peak Systems Corp. for all services performed and expenses reasonably incurred through the effective date of termination. The provisions of this Agreement relating to confidentiality, intellectual property, indemnification, limitation of liability, and governing law shall survive any termination or expiration of this Agreement.

SECTION 9 GOVERNING LAW

This Agreement shall be governed by and construed in accordance with applicable laws, without regard to conflict of laws principles. The parties agree that any dispute arising out of or relating to this Agreement shall be resolved in accordance with the dispute resolution provisions set forth in this Agreement.

SECTION 10 DISPUTE RESOLUTION

The parties shall attempt in good faith to resolve any dispute arising out of or relating to this Agreement through mutual discussions. If the parties are unable to resolve such dispute within a reasonable period of time, either party may pursue any remedy available at law or in equity.

SECTION 11 MISCELLANEOUS

This Agreement constitutes the entire agreement between the parties with respect to its subject matter and supersedes all prior or contemporaneous agreements, proposals, and communications, whether written or oral. No amendment or modification of this Agreement shall be effective unless in writing and signed by both parties. No waiver of any provision of this Agreement shall be deemed a waiver of any other provision or of any subsequent breach. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions shall continue in full force and effect. This Agreement shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Neither party may assign this Agreement without the prior written consent of the other party, except to an affiliate or in connection with a merger or sale of substantially all assets. All notices under this Agreement shall be in writing and delivered to the addresses set forth below or to such other address as a party may designate by written notice.

SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

Harborlight Media Corp.

By: _____

Name: _____

Title: _____

Cedar Peak Systems Corp.

By: _____

Name: _____

Title: _____